



भारतीय प्रतिभूति और विनिमय बोर्ड
Securities and Exchange Board of India

Financial Planning Guide for Master Trainers

Empowering Trainers to Inspire Financial Confidence



“Financial Planning Guide for Master Trainers”

Preface

Money is something we all deal with every day. Whether it is earning, spending, saving, or borrowing – it touches every part of our lives. Yet, for many of us, managing money feels confusing, stressful, or even scary. We earn hard but often struggle to make ends meet or secure our future.

This book is born out of a simple belief: everyone deserves to live with financial confidence, no matter their background, income, or education. You do not need to be a financial expert to take control of your money – you just need the right guidance, in a language you understand, with practical steps you can follow.

Over the past many years, we have worked at the grassroots level – interacting with families, daily wage earners, farmers, small business owners, salaried employees, and homemakers. We have seen that the desire to manage money well is there – but what is often missing is trustworthy, easy-to-understand information. This book hopes to fill that gap.

Inside these pages, you will find:

- Simple explanations of key financial concepts,
- Real-life examples and stories,
- Checklists and tools you can use immediately,
- Step-by-step guidance to create your own financial plan.

We have kept technical jargon aside and focused on what truly matters: helping you make better decisions with your money.

Whether you are just starting your financial journey or looking to improve your current habits, this book is for you. Read it at your pace, apply what makes sense for you, and share it with your family and friends.

Financial freedom is not about being rich. It is about having peace of mind and confidence in your future. And it starts with small, simple steps.

Let us begin.

*Dedicated to every financial educator who
dreams of a financially literate India*

Index

Chapter	Title	Page No.
1	Why Financial Planning Matters	4
2	Understanding the four pillars of personal finance: Assets, Liabilities, Income, and Expenses	9
3	Managing personal cash flow	14
4	Setting Realistic Financial Goals	16
5	Preparing for Retirement – Start Early	20
6	Understanding Insurance – Protect Before You Invest	22
7	Investing Made Simple	26
8	Introduction to Mutual Funds and SIPs	32
9	Stories of Real People Who Took Control of Their Money	44
10	Checklist and Tools for Action	48
11	Useful Resources	52
12	Final Words	53

Chapter 1

Why Financial Planning Matters

- Importance of planning money
- Common financial struggles and mistakes
- How planning can change lives

Let us analyze the financial situation and needs of the following investors:

Young executive fresh out of college

Paresh, an engineering graduate, has joined one of the leading automobile companies in the country. He was selected by the company through a campus interview six months back. He has completed his probation period and has been taken on the rolls of the company. His parents are not dependent on him.

Young couple and just married

Sudipto is working with a private sector bank in a large city. His wife Nivedita is a housewife. They married less than a year back. Parents are not dependent on them.

Double income family with two kids in school:

Ramesh lives in a town with his wife, Sunanda and two children. Both he and his wife are in their late thirties and the kids are in school. Ramesh is working with a mid-sized FMCG company and Sunanda is a school teacher. The elder daughter, Deepika, is in second standard and the younger son Rohit is in Senior KG. Ramesh and Sunanda have purchased a flat two years ago through a 20 year loan.

Senior company executive about to retire

Shankaran is a Sr. Vice President and head of research department with a pharmaceutical company. He is in mid fifties with retirement just a few years away. His wife is a homemaker. The only child, Sriram, has decided to settle down in the US after finishing his studies there.

Points of discussion for the case studies:

- What can one say about the income?
- What about the expenses?
- Ability to take risks
- Major goals in life – identify the goals and approximate time period
- Risks to income earning capacity

If one looks carefully at the four cases presented above and tries to answer the five questions, one wonders whether the same questions bother most individuals and families. The only difference is we have much more information about our own lives and families.

The subject that covers the above situations is known as personal financial planning. It is not so much about finances as about a family's needs, goals and aspirations.

In order to get deeper into the subject of personal financial planning, let us start with a discussion on what planning means.

Planning is about getting proper answers to four questions:

1. What is your starting point? – assessment of current situation and available resources
2. What is your target? – the objective, the goal
3. How do you reach your target? – the plan after assessing various options
4. Are you on course? – monitoring and review

It's all about knowing your current position and resources; your expected future destination and then working out how to get there. Having worked this out, one needs to implement and then periodically check if one is on course.

Planning is not new to us. We have been using these principles in many walks of life. Take for example, a vacation.

- The present situation: routine life
- Resources: money to spend and leave from work
- Objective: some fun, some relaxation and seeing a new place
- Time period: summer vacation; one week
- The plan: with the above objective, we start looking at various options (destination) that suit our objectives and fit into the budgets. The options also should fit into our required timeline. Once the destination is finalised, we then start evaluating the options for stay and travel. How much time do we want to allocate for travelling? What kind of staying arrangements would we prefer? What kind of food do we prefer? Booking the tickets for travel and the place to stay. And so on and so forth...
- Periodic monitoring and review: have we taken the clothes as per the weather? Have we taken the swimsuit or trekking shoes – depending on the type of vacation? Have we taken the required medicines? Are the travel tickets confirmed? Has the hotel sent confirmation?

Well, many of you may do a more detailed planning than what is mentioned above. But the point is planning is not foreign to us. However, there is one area in our life, and a very important one, where planning is generally not done in a complete manner, and that area is: financial planning. Planning our finances has somehow been an area where some of the basic commonsense rules are not applied.

Let us understand what financial planning is by starting with the four questions we asked in the beginning regarding planning.

1. Where are you? – assessment of current situation and available resources
2. Where do you want to be? & when? – the objective, the goal
3. How do you get there? – the plan after assessing various options
4. Are you on course? – monitoring and review

Let us expand these questions further and get more details:

- 1) Assessment of the present situation and the resources would include the following:
 - a) What is the income stream?
 - i) How much is the income?
 - ii) What is the regularity of income? Is there any periodicity or is it random?
 - iii) What is the degree of certainty of sustaining the income level?
 - b) What is the expense structure?
 - i) What are the regular expenses? These typically are the monthly bills pertaining to electricity, telephone, food, rent, EMIs on loan, conveyance, etc.

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- ii) Some lump sum expenses, e.g. insurance premium, vacation, visit to the home town, etc.
 - c) The current investments
 - i) How are the investments allocated in various options?
 - ii) How much money is invested in various options?
 - iii) What is the maturity profile of the investments? What is the other cash flow expected from these investments, e.g. dividends, interest, rentals, etc.?
 - d) What are the liabilities?
 - i) What are the various loans that one has taken?
 - ii) What is the schedule of payment for these loans?
 - e) The status of insurance
 - i) Are you adequately insured? – life as well as health insurance
 - f) Family situation
 - i) How many members
 - ii) How many earning members
 - iii) How many dependents
 - 2) The financial objectives / goals / dreams
 - a) When do you wish to be financially free?
 - i) This is a state where you do not have to depend on income from your profession to run your household expenses
 - b) Some other goals / dreams
 - i) Major expenses related to education and marriage of kids
 - ii) Purchase of a house for staying
 - iii) Purchasing a vehicle or upgrading to a better vehicle
 - iv) A vacation abroad
 - c) Some questions regarding all the above:
 - i) When?
 - ii) How much money would be required as per present costs?
 - iii) At what rate does one expect these expenses to go up over the period
 - d) Risk appetite
 - i) Ability to take risks
 - ii) Willingness to take risks
 - iii) It is generally the ability to take risks that one needs to respect. Willingness to take risk may be a function of one's mental make-up, lack of knowledge about investment options, etc. with proper understanding and planning, and willingness can be handled.
 - iv) The ability is a function of various things like the time horizon, liquidity levels, the difference between regular income and regular expenses, various liabilities, e.g. loans
 - 3) Drawing up a financial plan to get there
 - a) Getting the answers to the questions in (1) and (2) above would help us find out the rate of return required to achieve the goals
 - b) Choose the investment options such that the characteristics of the investment options are in line with the need as indicated by the required rate of return

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- c) As in any plan, just having a plan is not enough. It needs to be implemented
- 4) Periodic review
- a) Future is uncertain. This is applicable to investment as much as anything else in life. The investment markets are dynamic; a person's situation is also dynamic. This requires periodic monitoring of the investment portfolio and doing a course correction, if the situation so demands.
- b) The review should be done
- i) Once every six months or once a year,
- ii) Whenever there is a change in one's situation, e.g. when one gets married, gets a child, changes jobs, retires from the job, purchases a house, etc. And this could be applicable to an individual as much as the entire family

Planning one's investments is a difficult exercise

Investment planning, in particular, and financial planning in general is a difficult exercise for most. Although, most investors are exposed to the various components of financial planning, there is a lack of an overall plan. In most cases, an investor has only been contacted by product-sellers and not financial planners. There is also a lack of knowledge about options.

There are a lot of doubts in one's mind, if we only talk about investments. Many of these doubts or questions often remain unanswered or at times, the investor gets contradicting answers from various different sources.

Some standard questions could be:

- How to select appropriate investments?
- What if I need the money before the targeted date?
- What kind of paper work is needed?
- How much monitoring is required?
- Is it safe?
- How do I get regular information on the progress?
- What are the tax implications?
- Will I have enough money when required to fund the financial goal?
- What if I lose the proof of investments?

All the above questions and many more such questions come to mind when one considers selecting a relatively unknown investment option. In the absence of satisfactory answers to these questions, the investor is unable to take appropriate decisions.

Getting answers solves half the problems. However, it is also important for an investor to find out where to get the answers – many times it could be the literature printed by the company offering the investment, or the intermediary offering the investment; it may also be the website of the company or the intermediary. The regulator makes it mandatory for all product providers and intermediaries to provide the necessary information so that the investor can make informed decisions.

At the same time, proper financial planning can change lives as we shall see later in chapter 9.

Chapter 2

Four Pillars of Personal Finance: Assets, Liabilities, Income and Expenses

- Understanding the four pillars of personal finance and the inter-relations
- Income
 - Tracking monthly income
 - Differentiating between active income and passive income
- Expenses
 - Categorizing and controlling expenses
 - How to spend smartly
 - Creating simple household budgets
- Liabilities
 - Understanding debt: when borrowing helps, when it hurts
 - Good Loans and Bad Loans
 - Managing debt responsibly
- Assets
 - Differentiating between investments, personal assets, and business assets

Four pillars of personal finance

Having seen the importance of financial planning, let us dive deeper into understanding the four pillars of financial planning, viz., income, expenses, assets, and liabilities.

Income:

The income we earn can be categorized into active income and passive income. The former is what we earn by actively working, whereas in the latter case, we do not need to put in regular work to earn.

During our working years, we do a job, business, farming, provide professional services or do some gigs and earn money. However, there comes a stage in life when we hang up our boots – either due to age, the terms of the employment, or by choice. It is this period, also known as retirement, that we need to have a regular cash flow to meet our day-to-day living expenses. This regular cash flow could only be generated out of passive income or through the withdrawal of capital invested.

It is for this purpose that we must put aside some part of active income during the earning years and save and invest the same.

Expenses:

We spend money for various reasons. These reasons are also called our needs and desires. Some obvious examples of the expenses are the money we spend towards house rent or home loan EMI, society maintenance, grocery and dairy, entertainment, education, travel and local commuting, medicines and healthcare, etc.

The world has enough
for everyone's need, but
not enough for
everyone's greed.

MAHATMA GANDHI

As mentioned earlier, there are needs and there are desires. It is not that one needs to live a hermit's life and not spend on luxuries, but keeping an eye on the expenses is critically important., It is really those small expenses, going unnoticed, that can sink the ship of a household's finances.

The key to spending smart is to be disciplined about what we are spending for and to keep track of actual expenses.

Expenses can also be categorized as current expenses and future expenses. The latter are also called financial goals, which we will discuss in detail in Chapter 4. It is these future expenses or the financial goals that we need to create assets at present.



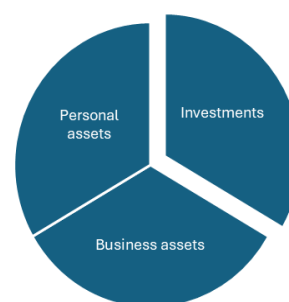
Beware of little
expenses; a small leak
will sink a great ship.

BENJAMIN FRANKLIN

Assets:

What we own is called an asset in the accounting language. However, those assets must be categorized into three distinct classes, viz., (1) personal assets, (2) business assets, and (3) investment assets.

Personal assets are the ones that we use to live our life. In other words, we are using or consuming these assets, which include the house we live in, the vehicles we use for our regular commute, the jewelry, furniture in the house, etc.



Those in business have assets that they use for business purposes. These are things like the laptop one uses for one's business, or office. This is especially important for self-employed,

professionals and gig workers to understand since there is a tendency to mix up the business assets with the personal assets, and that may sometimes cause Complications.

YOUR HOME IS NOT YOUR BIGGEST INVESTMENT

We all have heard for generations that your house is your biggest investment. The truth is that it might be your biggest single expenditure or it may be also called your biggest asset, but not an investment, if you are using it for residential purpose.

Then there is the third category of assets, which is at the center of the discussion in this book. These are the investments. The investment assets are purchased (or the investments are made) for meeting

one's financial goals, which are expenses to be incurred in the future. Since investments are made to fund future goals, they need to have certain characteristics in the form of safety, liquidity and returns. These assets must be able to generate regular income or capital growth. At the same time, the investor should be able to convert these assets to cash to make the payments at the time of the goal. It is due to this factor that one must not consider the personal assets as investments.

Liabilities

The loans we take for various purposes appear on the liabilities side of our personal balance sheet. These liabilities have to be repaid, and often along with some interest. In such a case, the liabilities would generate an outflow in the future.



The purpose of the loans, the term (period) of borrowing and the extent to which we are borrowing are some important factors apart from the cost of

borrowing, also known as the interest rate. It is a combination of these that makes it a good loan or a bad one. Like irresponsible expenses, irresponsible borrowing could also spell doom.

Good debt is debt that you take on to achieve meaningful growth in your personal life or finances, like a mortgage or student loan. Bad debt is relatively expensive debt and debt that someone takes on for unnecessary expenses, like credit card debt.

The relationship between the four pillars

These four pillars are not independent of one another – there is a deep relationship.

Assets have the **potential to generate income**, as we have already seen earlier, while the liabilities **will generate expenses** in the future. Please note the words in bold here. One has the potential, while the other is sure.

When the income is higher than expenses, one can create an asset or pay off a liability. At the same time, if the expenses are higher than income, one needs to either take on a liability or sell and liquidate an asset.

Budgeting – an exercise to spend smart

Millions of Indians are glued to the television set or various websites when the finance minister is presenting the Union Budget in the Parliament of India. Even state governments, municipal corporations, Jilla panchayat and gram panchayat also need to prepare their respective annual budgets. This exercise is critically important for our nation, and the respective constituency. There are a few lessons from that exercise:

1. It is a regular exercise – once every year
2. The finance minister presents a spending plan and maps it against the sources of income

The household budgeting exercise is no different in the sense that it is a decision to spend – it charts out a plan for spending money. Budgeting exercise helps an individual and the family to prioritize and hence control expenses. It also helps keep track of the expenses.

There is a popular myth that budgeting is burdensome as it requires keeping track of the smallest of expenses

The simplest definition of a budget is "telling your money where to go."

Making a simple budget

A budget is like a map for your money. It helps you plan where your money should go, so you don't end up wondering where it went.

How to create a simple budget:

1. Write down your total monthly income.
2. List all your expected expenses for the month (rent, food, transport, etc.).
3. Subtract your expenses from your income. If you have money left, decide how much to save or invest. If not, find ways to cut spending.

Sample budget table:

Category	Planned Amount (₹)	Actual Amount (₹)
Income	30,000	30,000
Rent	8,000	8,000
Food	5,000	5,200
Transport	2,000	1,800
Savings	3,000	3,000
Other	2,000	2,300
Total Expenses	20,000	20,300
Balance	10,000	9,700

Useful budgeting tips:

- Track your spending regularly - it's easy to lose track of small purchases.
- Stick to your budget, but don't be too hard on yourself if you slip up. Adjust as needed.
- Look for ways to save, like cooking at home instead of eating out or using public transport instead of taxis.

Chapter 3

Managing personal cash flow

- Saving First, Spending Later
- Importance of saving regularly
- How to build a savings habit
- Emergency fund basics

While we saw certain key aspects of income and expenses in chapter 2, it is important to note that apart from the regular income and expenses, some large inflows and outflows may not happen at the same time. There are periods when we have higher income compared to expenses and at other times, the expenses could be higher than the income. Thus, managing personal finances is about managing one's cash flows.

In a typical household, the income is regular, mostly at a monthly frequency. Many of the regular, recurring expenses, e.g., house rent, EMI, utility bills, etc. have the same frequency. In such a case, it becomes essential to ensure that the monthly expenses are below the monthly income. This generates a regular surplus, which needs to be saved and invested.

Do you prioritize saving or spending?

It is those small amounts saved month after month that accumulate into a large sum over time. As the popular saying goes, "Little drops of water make the mighty ocean."

<i>Do not save what is left after spending, but spend what is left after saving.</i> <i>Warren Buffett</i>
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While it may not appear to be easy, it is possible to form a habit of saving small amounts regularly. The first step in the process would be to prepare a budget, and then not spend on items which are not in the budget – avoiding the so-called impulse buying. Another important habit would be to avoid debt as much as possible. This would also help reduce the additional expense in the form of interest on the loan.

However, it is often seen that while one may have the best of intentions, some emergency strikes and the savings accumulated through saving those small amounts could be wiped out in one go.

While some expenses may come up in an unplanned manner, sometimes one may lose the source of income – it could be on account of losing one's job or making losses in one's business, or some external factors stopping one's ability to work and earn. The lack of income during such periods would mean that one might have to dip into long term savings to fund regular expenses.

This is where building an emergency fund must be considered a priority.

Before starting to save, one must focus on building an emergency fund, which could be equal to roughly three to six months of household expenses. The purpose of this emergency fund is simple – money should be available at the time of an emergency, and hence safety of capital and easy access must be the primary objectives. In such a case, the emergency fund may be parked in avenues that satisfy these primary objectives, even if the returns are low.

Chapter 4

Setting Realistic Financial Goals

- Planning for Major Life Events
- Understanding financial goals in the context of life
- Setting SMART goals
- Prioritizing goals in terms of importance and time horizon

Financial Goals

Shailaja, an eight-year-old girl, lives in a mid-size town in South India with her parents. She is highly inspired by watching the recent success of India's space programs, in which some women scientists played a huge role. She wants to become a space scientist. Her parents, Mrs. and Mr. Gupta, want her to pursue her dream.

Mandar, 45 years old, is working as an engineer in a large multinational firm. His wife is a homemaker. Since the company does not provide any pension plan, he is worried about how they will be able to live a comfortable life once he retires from the job.

Milind Wagle has recently moved to a large city from his hometown, as he got a promotion and a transfer in the company where he works. While his job is very good, he is facing trouble settling down in a house. He is tired of going house-hunting every now and then and is thinking of buying his own house soon.

Mrs. Deshmukh has recently retired from her job. She received a large sum as retirement benefits. She intends to invest the same to receive regular income for a comfortable life.

The above are some examples of common situations we see regularly in our own lives or the lives of people around us. Though there is no explicit mention of money in these examples, we intuitively know that money would be involved in each of these situations, whether Shailaja must be educated well, or Milind Wagle has to buy a house, or Mrs. Deshmukh or Mandar have to fund their lives in retirement. In the investment world, the requirements of these four are known as financial objectives. When we assign amounts and timelines to these objectives, we convert them into financial goals.

There are numerous examples of such financial goals. Among the most common are funding a child's education, the cost of the marriage of one's son or daughter, funding the lifestyle in retirement, buying a vehicle, buying or renovating one's house, and taking a big vacation. At the same time, there could be some not-so-common ones like starting one's own business or taking a sabbatical from work and funding one's higher education.

Goal setting is a very important exercise while planning for investments. As seen above, all the financial goals are about the need for money that cannot be fulfilled through the inflow at that time. While the expenses for the goal may be high or low, the income (from salary, professional fees, etc.) may be less than the amount required to fund the goal. This is where money needs to be withdrawn from the investments – in other words, this is why one needs to invest the money.

The first step in goal setting is to identify these events in life. Some of these are desirable and can be planned, whereas some others, which may be undesirable, may spring up as surprises. Those events with a potential negative outcome would be undesirable. Some of the examples of the same are the death of a family member, hospitalization, accident, theft, fire, etc. One cannot plan to fund the expenses associated with such events through investments, though we

can create an emergency fund using some savings and investment products. Apart from the emergency fund, one may buy insurance policies to cover the risks of such events.

Financial goals are expenses to be incurred in the future to live a life of one's choice.

After identifying the events, one needs to assign priorities—which of these are more important than the others. Retirement or children's education fall into the responsibility category, whereas a grand vacation may be a good-to-have goal. Having said that, it is only the individual and the family that can decide which is which. A financial advisor or a mutual fund distributor may only guide and help one make an appropriate decision. At the same time, the role of such an intermediary would be very important.

After that, one needs to assign a timeline as well as the amount of funding required at the time of such events. Take, for example, if someone is planning to buy a house, one needs to decide the type of house one wants, as well as the location. These inputs would help arrive at an approximate cost. After that, one needs to decide by when one would like to buy this. Both the timeline and amount are critical for one to be able to plan to achieve the goal.

Such an exercise allows one to classify the goals in terms of the timeline – are the goals in the near term, or far in the future?

Short term needs versus Long Term Goals

Take a relook at the examples at the beginning of the chapter. Shailaja's higher education is roughly ten years away, whereas Mandar may work for another fifteen years. On the other hand, Milind Wagle may need to buy a house in the next couple of years. Mrs. Deshmukh's case is interesting since she has a need for income from investments in the immediate term, but the same must also continue for a long and uncertain period, as the income is required for life. Mandar would also enter a similar situation on retirement.

The retirement goal can be broken into two parts – accumulating a sum for retirement and then taking income out of the corpus thus accumulated. Another look at the two approaches to classify the goals indicates that the goals can be placed in the following matrix:

	Critically Important (Needs or Responsibilities)	Dreams	Good-to-have
Intermediate term			
Short term			
Medium term			
Long term			

Wisdom suggests that if one plans well for those important and not urgent goals, life changes for the better. In order to achieve this, it is important to first classify the financial goals – those events in life in terms of timeline and importance in one's life.

Financial Goals, Time Horizon for their achievement and Inflation

The next step would be to assign amounts to the financial goals. In the process of planning, this is an important question: How much would it cost? Shailaja, the eight-year-old, wants to be a space scientist, for which she needs a good quality education. How much would such education cost? Well, this question must be answered in terms of the amount needed when Shailaja reaches college. And that is roughly a decade from now. In such a case, the costs are quite likely to move up. Such a rise in the cost of the goals is called inflation. It applies to many other areas of personal finance. This is known as inflation with respect to the goal value.

Inflation adjustment for the goal values is critical, without which the entire planning can go haywire. The cost of education has been going up at a very fast pace over the last few decades.

Similarly is the case of the cost of healthcare, can have a big impact on the expenses during the retirement years.

The Pool Approach

Some people have a pool of savings / investment and meet their financial requirements from the pool. It is possible to manage that way. However, the lacuna is, you are not sure of the horizon for the investments. As we will see going ahead, knowing your horizon is important for investment decisions.

Chapter 5

Preparing for Retirement – Start Early

- Why retirement planning matters for all
- Two phases of retirement – accumulation and distribution
 - Retirement products – for the accumulation phase and the distribution phase

In the earlier chapters, we discussed a phase in life when the active income stops while the expenses continue. This is the typical retirement phase. It is a phase that one must prepare for. In the current age, we live longer – the average longevity has increased over the past few decades in India. In such a situation, we are likely to spend more time without active income in comparison to the previous generations.

Retirement is also a phase of life that is quite different from all the other goals in two aspects, viz., (1) it is generally a long period for which we would depend on passive income, and (2) it is the only financial goal for which no loan is available.

Two phases of retirement planning

The entire retirement planning exercise should be broken down into two distinct phases – accumulation and distribution.

In the former, we set aside some part of our income towards accumulating and building a corpus, while in the latter, we would need to withdraw income to fund expenses during retired life.

Both phases need to be treated differently. In the first phase, i.e., during the accumulation period, we can afford to take higher investment risks as building a large corpus is the primary objective. In the distribution phase, however, one must consider a less risky portfolio as the goals are now regularity and stability of income. Having said that, the income must keep rising year after year as the expenses would be rising on account of inflation.

Chapter 6

Understanding Insurance – Protect Before You Invest

- Understanding the concept of insurance
- Life, health, and accident insurance explained simply
- Choosing the right cover for your needs.

What is Insurance?

Insurance is a financial safety net. It protects you and your family from unexpected expenses or loss of income caused by accidents, illness, disability, or death.

In simple terms, insurance means transferring risk. You pay a small amount (called a premium) to an insurance company. In return, the company promises to pay you or your family a sum insured if something unfortunate happens, e.g., a medical emergency, car accident, or death of the breadwinner.

Why is insurance important?

- Life is uncertain: accidents and illnesses can happen anytime.
- Insurance helps avoid a financial crisis during unforeseen events.
- It gives peace of mind knowing you and your loved ones are protected, at least financially.

Types of Insurance: Life, Health, and Accident

In personal finance management, the three most important types of insurance categories are life insurance, health insurance and accident insurance. Let us break down the most important types of insurance for individuals and families:

1. Life Insurance

Life insurance provides financial support to your family if you pass away.

- You pay a regular premium (monthly, quarterly, yearly).
- If you die during the policy period, the sum assured is paid to your family.
- Some life insurance policies also offer savings or investment features.

Types of Life Insurance:

Type	What it offers
Term Insurance	Pure protection; low premium, high cover
Endowment Plans	Life cover + savings maturity benefit
ULIPs	Life cover + market-linked investment
Whole Life Plans	Coverage for the entire life

For most people, a pure term insurance plan is best, as it is affordable and gives maximum protection for the premium paid.

2. Health Insurance

Health insurance pays for medical expenses when you or your family members fall ill or need hospitalization.

- It covers costs like hospital room charges, doctor fees, tests, medicines, surgeries, etc.
- Some plans offer cashless treatment in network hospitals.

Types of Health Insurance:

Type	Who it covers
Individual Health Plan	One person
Family Floater Plan	Entire family under one sum insured
Senior Citizen Plans	Special plans for older people
Critical Illness Plans	Lump sum payout on diagnosis of major illnesses like cancer, heart attack

Everyone should have a basic health insurance plan to avoid draining their savings during medical emergencies.

3. Personal Accident Insurance

Personal accident insurance provides financial support in case of:

- Accidental death
- Permanent or partial disability
- Temporary income loss due to an accident

Even if you already have life and health insurance, this cover is useful because:

- Accidents can lead to income loss or long-term disability.
- It comes at very low premiums.
- It provides regular income to the insured in the event of an accident leading to loss of income.
- It covers death due to an accident, which is not always covered by basic health insurance plans.

Choosing the Right Insurance Cover for Your Needs

There is no “one-size-fits-all” insurance policy. The right plan depends on your life situation, income, responsibilities, and risks. Here is a quick guide:

Situation	Suggested Insurance
You are single, just started working	Basic health cover + accident cover
You are married, no kids yet	Health cover for couple + term life cover for breadwinner
You have young children and dependents	Higher term insurance + comprehensive health cover
You are nearing retirement	Health insurance is critical, plus accident cover if possible
You have loans (e.g., home loan)	A term plan that covers the loan liability

(The above table is only indicative and should not be construed as advice. Please refer to subject matter experts for guidance.)

Things to consider:

- Buy insurance early in life. It is cheaper and easier to get when you are young and healthy.
- Review and upgrade your coverage as your income and responsibilities grow.

Chapter 7

Investing Made Simple

- Basics of investments
- Difference between saving and investing
- How investing grows one's money over time
- Understanding risk and return
- Inflation and power of compounding
- Diversification and Asset allocation

Earlier, we saw that to fulfill various financial goals, the investors need to invest their money. Let us see what options an investor has. Following is a list of some of the popular investments:

- Bluechip shares
- Fixed Deposit with bank
- Corporate bonds
- Post office monthly income scheme
- PPF (Public Provident Fund)
- Savings account

People invest their money in a combination of some of the above investment options. All the options possess different characteristics. A PPF account is used to accumulate savings for one's retirement. While the post office monthly income scheme could be ideal for someone seeking regular monthly income, shares can be used by investors seeking long term growth of capital.

As can be seen, the different options serve different needs. This is possible due to the nature of such investments. Shares of companies are likely to offer capital appreciation over long periods of time if the company grows its profits, however, over short periods of time, the share prices fluctuate a lot. Compared to that, the value of bank deposit looks stable since most investors hold onto their deposits till the maturity date. We have mentioned the (potential) benefit offered by these products in the table below:

Investment option	Potential benefit		
	Growth	Income	Liquidity
Bluechip shares	✓		
Fixed Deposit with Banks		✓	
Corporate bonds		✓	
Post office monthly income scheme		✓	
PPF	✓		
Savings account			✓

Based on the potential benefits offered, these instruments can also be classified as different asset classes also. For example, shares or stocks are equity assets and they have the potential to provide high returns over long periods of time. Fixed deposits, bonds and debentures are fixed income assets (also known as debt assets) and they generally provide regular income with the safety of capital.

While the above discussion was pertaining to various investment avenues, these may also be classified as marketable and non-marketable. The securities markets play a big role in providing liquidity and marketability to various instruments through listing and trading in a regulated manner. The prominent instruments available on securities markets are stocks, bonds, and mutual funds among others.

Savings and Investing

Saving means keeping money aside in a safe place like a bank for short-term needs or emergencies. It gives low returns but is low risk. Investing means using your money to buy assets like mutual funds, stocks, or gold, with the aim of growing it over time. It carries some risk but can give higher returns. In India, people often prefer savings due to safety, but long-term goals like buying a house or retirement need investing. A good financial plan balances both – save for emergencies and invest for the future. Start early and stay consistent for best results.

For both purposes, be it savings or investing, we need some instruments or vehicles. These can be combined into various groups that may be called “asset classes”. The classification is done based on the common traits among the avenues within the same category.

What are various asset classes?

The asset classes can be classified as financial assets and physical assets. Examples of physical assets are real estate and gold. On the other hand, equity, debt and money market instruments are some of the financial assets.

Let us discuss the financial assets.

Investment in equity is part ownership in businesses, whereas that in debt or money market instruments are loans to businesses. Investors in equity take the entire risk of failure of the business. In order to compensate them for the risk that they take, they expect higher returns through the profits generated by the enterprise.

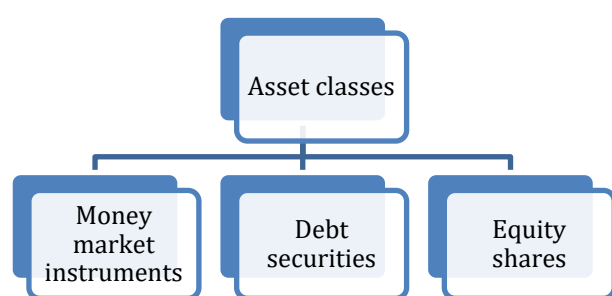
In the initial days of a business, very few investors would back the promoters in the absence of any track record. As the business continues to flourish, looking at the success achieved, more investors may want to support and invest in the business. Thus, the price per share may be depressed in the early years of a business considering the low demand, whereas the same may go up if the business succeeds. Add to this, the fact that since the business has succeeded, the value of the enterprise also would have gone up. Thus, the initial investors who took the risk of investing in a relatively unknown business may get a dual benefit.

Some of the established businesses also face many risks and there are many examples in history when giant market leader enterprises have failed to perform and eventually collapsed. Thus, whatever the size of the enterprise, the risk of equity ownership always remains high.

Compare this to debt investments. In this relationship, the investor is a lender to the business and the borrower has a fixed commitment to repay the principal along with interest thereon.

The debt markets and money markets differ in terms of the period of borrowing. While instruments issued for borrowings under one year come under money markets, those issued for borrowings over one year come under debt markets.

The price of any asset is a function of the value of the underlying and the investors' perception of that value. The investors consider the potential of appreciation in the value of the underlying as well as the associated risks. Higher the worth of the underlying, higher the perceived value and higher the associated risks, lower the perceived value.



Let us look at the characteristics of the asset classes:

Money market investments: Money market investments are ideal for parking money for short periods of time. Market price of these investments does not fluctuate much and has less possibility of losing capital. However,

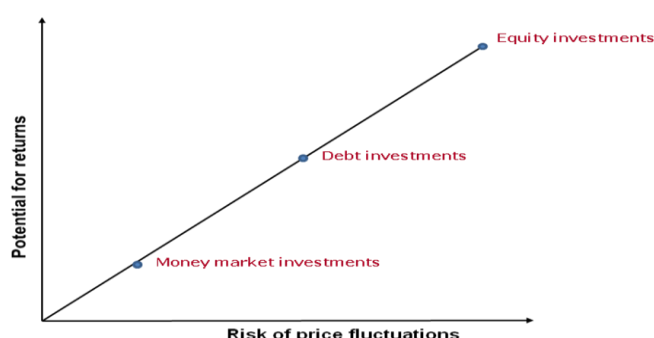
the value of these investments does not keep pace with inflation – the rise in prices of commodities, products and services used by people. Thus, over a long period of time, the purchasing power of one's investments goes down. Eg-

Debt investments: Debt investments are ideally suitable for investors looking for regular income and the safety of their investments. The market price of these instruments fluctuates more than money market investments. The value of these investments grows almost in line with inflation after adjusting for taxes.

Equity investments: Among the three financial asset classes, equity prices fluctuate the most. However, it has the potential to provide positive returns after inflation and taxes over long periods of time and hence the potential to create real wealth. Thus, equity is the ideal choice for investors looking to create wealth over a long period of time.

Risk v/s Return:-

As can be seen from the above discussion, no asset class is superior to the other in all respects. Each asset should have its place in one's investment portfolio. How much money goes where is then a function of matching the investor's needs with the nature of the asset. At the



same time, one must understand the relation between the potential rewards and the risks involved. As the expected returns go up, one has to be ready to take higher risks. The equity investments have the potential to offer highest returns among the three asset classes discussed

here. However, money market instruments, the safest among these offer the lowest possible returns.

To sum up, the positioning of various asset classes with respect to their risk profile and return potential is as shown in the figure.

Inflation and the power of compounding

The rise in prices as mentioned above is commonly known as inflation. Inflation is generally positive for most of the things, i.e., goods, services and commodities, that we regularly use. Thus, the prices of various items and financial goals go up over a period of time. The rate of growth could be low, but it adds up in the long run.

One of the very important factors that must be kept in mind is the fact that the amount required for the financial goals needs to be assumed. The cost of the goal at the time of the goal is likely to be different compared to what it would cost today. For example, the cost of higher education has gone up many times over in the last couple of decades. If one fails to plan for such cost escalation, it would be very difficult to fund the goal at a later stage. Similarly, while planning for life, one must also expect the cost of living to go up.

While the investors have long term goals and the costs keep going up over a period, investors can count on a friend called the “power of compounding”. If one invests one’s money wisely and for a long period, the power of compounding can do wonders.

Albert Einstein is believed to have said that compounded interest is the eighth wonder of the world. Let us see what it can do through this story of two brothers, Ram and Shyam.

Ram and Shyam were twin brothers. Ram started investing Rs. 5,000 per month at the age of 30 years and happened to choose an investment option that gave him a return of 10% p.a. over the next 20 years. That is when he reached the age of 50 years.

Till that time, Shyam had not invested a single rupee and had always believed in spending whatever he earned to buy the things that he wanted. At 50, he realised that the income would soon stop, and he should save some money to ensure he doesn’t have to work in his retirement years.

He called an investment advisor and explained his situation. Shyam also told him the investment experience of Ram. Shyam asked the advisor what Ram’s wealth would be when he retires, i.e. at the age of 60 years.

After understanding Shyam’s requirements, the advisor was quick to do the math and told Shyam that Ram would have invested Rs. 18 lakhs over the period and would have accumulated a sum of approximately Rs. 1.03 cr (approx.) by the time he reaches the age of 60 years. He was quick to add that such a sum would be enough to ensure Ram had a comfortable retirement without compromising on his lifestyle.

Shyam then told the investment advisor that he would be willing to invest Rs. 15000 every month for the next 10 years and if the investment continues to grow @ 10% p.a., he should also have as much money as his twin brother, i.e. Rs. 1.03 cr. (approx.)

He was in for a shock when the advisor did his math and told him what he would have accumulated then. The wealth accumulated then would be roughly Rs. 30 lakhs (approx.) even after investing 3 times the amount invested by Ram.

This is what the power of compounding did to Ram's investments. As time increases, the power of compounding increases.

Asset allocation and Diversification

As we saw earlier, different asset classes exhibit different characteristics. Due to that, the asset classes would be suitable for certain needs and may not be suitable for certain other situations. For example, equity has the potential to generate high returns over long periods of time but could be highly risky if the investment is made for short periods. At the same time, money market securities would be ideal for parking short term surplus, but they may generate less than inflation returns. In such a situation, it is important to match the asset class to one's specific

Example:

Return generated by a certain investment in money market security: 6% p.a.

The value of investment of Rs. 10,000 after 1 year: Rs. 10,600

Inflation at that time: 7% p.a.

Money required to buy something you could buy for Rs. 10,000 today: Rs. 10,700

Thus, the investment in a money market security could not beat inflation and thus one could only buy less after a year in comparison to what one could have bought today.

requirements. The art and science of deciding how to allocate money to which asset class is popularly known as asset allocation. This process ensures the investments are aligned with one's needs and hence the chances of reaching the financial goals increase.

At the same time, when money is invested across asset classes and also across different investment instruments within an asset class, one would have diversified portfolio. Diversification is a proven strategy to reduce overall portfolio risk.



Chapter 8

Introduction to Mutual Funds and SIPs

- What mutual funds are
- Advantages of mutual funds
- Key concepts
 - Units and NAV
 - Investment returns (CAGR)
 - Expense ratio and loads
- Types of mutual funds
- Benefits of SIPs
- How to start investing – KYC

Earlier, we saw that there are different asset classes and that they exhibit different characteristics. Each has its own merit and each offers certain different benefits to the investors. Even when we restrict our discussion only to the financial assets, each one has a place in the investor's portfolio.

An investor has a choice of building the portfolio by directly buying into the various investment options discussed earlier or indirectly through mutual funds. Thus, a mutual fund is nothing but a convenient way of getting into any one or more of the asset classes.

What is mutual fund?

A mutual fund is a service offered by a professional organisation known as an asset management company. This company launches schemes (also known as products) by stating scheme objectives in the offer document.

An investor can invest in these schemes if the objective of the scheme is in line with the investor's goals. By investing in a mutual fund scheme, the investor has outsourced the job of managing his money to the asset management company. This company would then:

Where can one find the investment objective?

Any new scheme is launched through a document called the offer document. Scheme's investment objective can be found from this document. An abridged version of this document is available with the application form that an

- Invest the investor's money in line with the stated objective,
- Handle all the research required to select the underlying investments,
- Make changes to the portfolio, if so required, through the research and
- Summarise the performance of the portfolio into a statement and give it to the investor, who gets the complete picture on that one page – known as the account statement.

A mutual fund offers the following benefits to an investor:

1. Diversification

“Do not put all your eggs in one basket” – so goes the old saying. As we have seen earlier, there are certain risks associated with various investments. However, the good news is that all the risks do not take place simultaneously and with all investment options. In such a case, diversifying one's investments across different options helps in reducing the risk of the total portfolio, while keeping the return potential at an average of all investments.

A mutual fund, by design and by regulation, spreads the investment across many options and thus automatically offers the benefit of diversification to the investors.

2. Professional management

While all of us depend on our investments for various needs, we may not possess the required skills to manage the investments ourselves. It is also seen that even when some do possess the required skills, they may not have time outside of their profession or family requirements to look after their own investments. In such a case, a mutual fund comes in handy to offer the services of a professional organisation that has the expertise in managing money.

3. Affordability

While we saw that mutual funds offer the benefits of diversification and professional management and we will also discuss some of the other benefits, these are available to an investor at a reasonably low cost. These costs are regulated by SEBI.

The minimum amount that can be invested is also quite low, e.g. it is possible for an investor to invest Rs. 5,000 into a Government Securities Fund, whereas the lot size of Government securities is Rs. 5 cr. Thus, while a direct investment requires minimum of Rs. 5 cr to buy one market lot of one Government bond, a mutual fund investor is able to buy a portfolio investing into different Government bonds for as low as Rs. 5,000.

4. Administrative convenience

We all know how much paperwork is involved when we invest in different investments – fixed deposits, PPF, shares of various companies, different debentures, etc. We also have to keep track of receipts of dividend or interest payments as may be the case. In case of investments in shares, one also has to keep track of all the corporate actions like issue of bonus shares, rights issue, or buy back of shares, etc.

An investment in mutual funds takes all these hassles away. Even if one has invested in 30 companies through a mutual fund, one needs to keep track of only one mutual fund. The Mutual fund will handle all the other work related to the 30 underlying investments.

The value of investments can be easily monitored. This is extremely critical to check the progress of the portfolio towards one's financial goals.

On top of this, buying and selling of mutual fund units (especially those of the open-end mutual funds) is as easy and convenient as operating a bank account. Nowadays, most of your transactions can be done through internet and mobile apps also.

5. Flexibility

The structure of mutual fund products allows a lot of flexibility to an investor. First, subject to a minimum amount, one can invest or redeem any amount. Let us say, one

can save Rs. 3,000 per month – a mutual fund has a solution for this need. If one has lump sum of Rs. 1,00,000 to invest, out of which one would need Rs. 10,000; Rs. 15,000; Rs. 50,000 and Rs. 25,000 at different points in time in future, mutual fund has the solution for this need. One can do all these transactions in one single mutual fund account.

One can also move from one fund to another (within the same fund family), both having different investment objectives, through just one instruction.

6. Easy liquidity

The open-ended mutual funds offer very high degree of liquidity. As mentioned earlier, operating a mutual fund account is as easy as operating a bank account. One can do a transaction in a mutual fund on any business day.

The closed-end mutual funds offer liquidity through listing on stock exchanges.

7. Transparency

SEBI has made it mandatory for all mutual funds to declare the portfolio of underlying investments on a regular basis to the investors in the fund. The value of the units, popularly known as NAV, is declared on a daily basis, making the pricing transparent.

As a benefit of this transparency, an investor can check whether the investments by the fund are in line with the scheme objectives. One can also monitor the performance of the scheme (the returns generated) with the availability of daily NAV. This kind of transparency coupled with easy liquidity provides a very high safety to an investor, since an unhappy investor can always exit the scheme by taking the benefit of liquidity.

How does the mutual fund work?

Investors pool their money and invest into a scheme with objective that matches with their investment objectives. The money is handed over to the asset management company (or the fund managers), which in turn invests the money in various securities in line with the scheme's objectives.

As discussed earlier, each asset class has certain characteristics. The fund manager selects the investment options that match with the scheme's investment objective.

These securities generate returns in line with their characteristics, which are passed on to the investors after deducting certain expense incurred on account of managing and marketing the scheme.

Such an arrangement builds further safety into the mutual fund.

Types of mutual funds

The mutual funds are classified in different ways:

By investment objective/assets class

Growth Funds:

The objective of these funds is to provide growth of capital over long periods. As we discussed earlier, equity as an asset class has the potential to provide capital growth the growth funds invest in equity shares of companies.

Growth Funds have further subcategories, depending on the investment universe:

- Diversified equity funds
- Index funds
- Sector / theme-specific funds
- Large cap funds / Mid cap funds / Small cap funds
- Flexi cap / Multi cap / All cap funds

Income Funds:

The objective of Income Funds is to provide the investors with regular and steady income. In order to achieve this objective, these funds invest in fixed income securities such as corporate debentures or Government bonds.

Like Growth Funds, these also have sub-categories. Some of these categories are as follows:

- Income funds
- Government securities funds
- Short- term income funds
- Fixed maturity plans

Hybrid Funds:

As the name suggests, these funds are a hybrid of Growth Funds and Income Funds. Thus, the objective of hybrid Funds is to provide stability/income through investments in debt securities and growth through investments in equity shares.

Liquid Funds:

These aim to provide easy liquidity and protection of capital, while offering income. However, the income generated by these funds is lower than that of the Income Funds. On the other hand, Liquid Funds are the best option when the investment horizon is very short, ranging from 2 days to 6 months.

Gold Funds:

The yellow metal has lured most Indians for ages. Indian households have been known for buying Gold for investment purposes. In a recent development, SEBI has allowed

the launch of mutual funds investment in Gold. However, at present, these funds can be launched as close-ended funds only and have to be listed on stock exchanges to provide easy liquidity to the investors.

The NAV of the units of Gold Funds tracks the price of Gold.

Mutual funds - by investment objective / asset class

Growth funds

Income funds

Hybrid funds

Liquid funds

Gold funds

By structure

Open-ended funds:

These funds are perpetual in nature in that there is no maturity date. An investor can invest in these funds at NAV related price on any business day and also redeem in a similar manner. The main advantage of open-ended schemes is their liquidity.

Close-ended funds:

These funds have a pre-defined maturity date, on which the scheme ceases to exist and the money is refunded to the investors. However, since these funds do not provide instant liquidity as in the case of open-ended funds, the units are listed on stock exchanges, where the investor can exit from the scheme by selling the units at the market price.

The market price could be different from the NAV, and it is observed that it is generally lower than the NAV.

Mutual funds - by structure

Open-ended funds

Close-ended funds

Mutual funds and taxation:

Tax in the hands of the fund:

Any income of a mutual fund registered under the SEBI Act, 1992 is exempt from income tax. Thus, any income generated by the fund through investments, either in the form of capital gains (short term or long term), dividends or interest is exempt from income tax.

Tax in the hands of a fund investor:

However, income in the hands of a mutual fund investor may be subject to tax as per the prevailing provisions. An investor can make money in two ways: either in the form of dividends received or in the form of capital gains. The capital gains can be further divided into two categories – long term or short term – depending on the holding period of the investment. The dividend may be subject to tax in the hands of the investor.

Tax saving schemes under Section 80C of the Income Tax Act, 1961:

Section 80C of the Income Tax Act, 1961 allows an assessed deduction in respect of certain investments, insurance premiums or certain expenses or home loan repayments. The limit for the said deduction is Rs. 1,50,000 per year per assesses. A mutual fund investor can avail of the deduction through investment in notified mutual fund schemes, known as ELSS (Equity Linked Saving Schemes) or Pension Plans launched by mutual fund companies. This benefit is available only to those taxpayers who are still in the old tax regime.

Mutual Fund Terminology

NAV

NAV (Net Asset Value) is the value realizable on the sale of a unit. All the assets (including market value of securities in the portfolio, accrued income and receivables) of the fund, less liabilities (including expenses and payments due), divided by the number of outstanding units, gives the NAV.

This value, multiplied by the units held by an investor, indicates the worth of the investor's holdings in the respective fund.

Units

Each fund is broken down into small units for the purpose of accounting convenience. When an investor invests, one is allotted units. The number of units one gets is equal to the amount invested divided by the NAV applicable.

$\text{Units allotted} = \text{Amount invested} / \text{NAV at the time of transaction}$
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Whenever one wants to check the value of the portfolio, one has to take a look at the unit balance in the folio and multiply the same by the latest NAV.

$\text{Portfolio value} = \text{unit balance in the folio} \times \text{current NAV}$

Growth option

The earnings of the mutual fund can be either distributed to the investor in the form of a dividend or retained in the portfolio, thus allowing the benefit of compounding.

The second option is known as the growth option, which an investor with no intermediate need for income may choose. This will allow all the earnings, profits, dividends, or interest income to be reinvested in the portfolio.

Income Distribution and Capital Withdrawal (IDCW) option (earlier known as Dividend option)

The investor can also choose to take the earnings of the fund home as and when (and in whatever quantum) the fund declares a dividend.

Within the IDCW option, the investor can choose to take the dividend home by opting for payout or reinvest the dividend by choosing the reinvestment option. Such reinvestment would result in the allotment of additional units.

Remember that after the dividend, the NAV will go down at least to the extent of the dividend.

Purchase

This is the commercial transaction to be done when the investor wants to buy into the fund. The transaction is carried out by filling up an application form and a payment instrument, either

a cheque or a bank draft. These days, one can also purchase funds through online payment. On purchase of units, the investor gets an account statement, which is a record of the transactions one has made in a fund account.

Redemption

This is the other side of the above transaction. This is carried out when an investor wishes to withdraw money from the investment made in the mutual fund. There is a redemption slip that needs to be filled up, quoting the account number. The mode of payment receipt could either be through a cheque or electronic transfer into the investor's bank account. One should check the availability of the electronic payment option with the respective fund house. Please remember that the payment will be made by the fund only in the name of the first holder in the designated bank account.

Switch

A switch transaction is a convenience offered by the mutual funds. When an investor wishes to exit one fund and enter into another within the same fund family, one can opt for a switch instead of doing a redemption from one and purchase into another fund. Simply by filling up one transaction slip, both the purchase in one fund and redemption from another are carried out.

Systematic Investment Plan

When a salaried individual wishes to invest the monthly savings on a regular basis, the systematic investment plan can be chosen as a facility. This allows one to do multiple purchase transactions through one instruction.

A systematic investment plan is a very popular way of investing one's money in mutual funds. It is a process of investing money at a regular interval, say, monthly or quarterly. As most of our earnings and expenses happen on a monthly basis, savings, which is nothing but the difference between the two, also happens on a monthly basis. In such a case, it is easy to invest monthly.

SIP works on two principles: the power of compounding and rupee cost averaging. We discussed the power of compounding in Chapter 6. Rupee cost averaging is a strategy to invest a fixed amount at regular intervals, irrespective of market conditions.

Month	Amount invested (Rs.)	Sale price (Rs.)	No. of units purchased
1	1000	10	100.000
2	1000	12	83.333
3	1000	8	125.000
4	1000	10	100.0000
Total	4000	40	408.333
Average sales price of units: Rs. 10 (i.e. Rs. 40 / 4 months)			
Average purchase cost of units: Rs. 9.80 (i.e. Rs. 4000 / 408.333 units)			

A real life experience: SIP in Sensex

Being able to conveniently invest in a Sensex (a stock market index comprising 30 stocks of large companies listed on the Bombay Stock Exchange) portfolio at a reasonable cost is a recent phenomenon. One can now invest in the Sensex either by way of index derivatives or through index funds tracking the Sensex. However, for the purpose of understanding the concept of SIP, we have taken to liberty of assuming that an investor could do an SIP in Sensex since Jan-1991. (Source of Sensex data: www.bseindia.com)

The following hypothetical example illustrates what would happen if one could invest a sum of Rs. 1,000 every month from January 1991 till June 2025 .

Monthly investment	Rs. 1,000
Period	414 months
Total investment	Rs. 4,14,000
Wealth accumulated as on 30-Jun-2025	Rs. 53,34,137.55
Return on investment	11.52% p.a.

(Note: Past performance may or may not be sustained in the future)

SIP offers great convenience, especially when the savings are on a monthly basis. An important additional feature of SIP is the top-up or step-up facility offered by many AMCs. This allows an investor to give an upfront instruction to increase the SIP amount periodically, say, every year.

Systematic Withdrawal Plan

An investor with a need to regularly withdraw money from the investment account can opt for this facility. SWP allows an investor to set up regular withdrawals for long periods through only one instruction.

Systematic Transfer Plan

This is a multiple switch request. An investor wishing to transfer money from one investment account to another (one fund to another) on a regular basis can do so through only one instruction under the systematic transfer plan.

Investment returns

When we invest our money in mutual funds, we need to understand how much our money has grown and at what rate of growth. This is also known as “investment returns” or Compounded annualized Growth Rate (CAGR). Calculating the investment returns in this way offers standardization, as each investment’s performance is measured with the same unit of time – annual. Comparison across various investment avenues thus becomes fair.

Expense ratio

As each mutual fund scheme is managed by a team of professionals, with many other professionals offering various services, their fees would be payable by the fund itself. Such a fee would be taken from the expenses charged to the scheme. The ratio of the amount collected

from the fund divided by the total corpus of the fund is called the total expense ratio (TER). SEBI regulations impose strict limits on the maximum TER that can be charged to the scheme.

How to start investing in mutual funds

KYC – Know Your Customer:

First and foremost, an investor must complete the KYC (Know Your Customer) process. It is mandatory for all investors to furnish certain documents and information to comply with the KYC policies under the Prevention of Money Laundering Act, 2002, and the guidelines issued by SEBI.

This has increased the amount of paperwork required for investment in mutual funds. However, the mutual fund industry has come together and put a unified KYC process through which an investor is required to furnish the documents and the information only once. SEBI has gone one step further and issued regulations that enable the creation of cKYC (centralized KYC process) and the appointment of KRAs (KYC Registration Agencies).

One can look at the website of AMFI (www.amfiindia.com) or the fund houses for more details on the KYC process.

PAN

Quoting of PAN is mandatory for all applications now. As per a recent change in the guidelines, quoting PAN (and submission of a copy of PAN card) has been made compulsory for all applications in mutual funds, irrespective of the amount of investment. Earlier, it was required only for applications of Rs. 50,000 and above. One should also know that the PAN is required for all holders irrespective of the mode of holding. If two individuals are making a joint application to purchase mutual fund units, a PAN card copy would be required for both the first as well as second applicants.

Filling up the application form

The mutual fund application form must be filled in properly after going through the Key Information Memorandum (KIM). The important details to be filled in are:

- Names of all the investors
 - Up to three joint holders can apply for mutual fund units
 - Although the ownership may be joint, the dividend or redemption cheques are sent in the name of the first holder only
 - Name of guardian, in case the first holder is a minor
- Address of the first holder
- Mode of operating the account, whether it would be operated as “Anyone or survivor” or “joint”
- Status, whether one is investing in individual capacity or in non-individual capacity, resident Indian or NRI, etc. This would have certain tax and other regulatory implications.

-
- Scheme name, plan and any options
 - It is necessary to understand that in the absence of certain details here, either the application may get rejected or the investment may go into the default options as mentioned in the KIM. The default option may not be suitable in all cases.
 - Details of the amount to be invested and the payment instrument
 - Investor's bank mandate
 - Remember that since the payments of dividend and redemption would happen in the name of the first holder only, one has to furnish the bank details only for the first holder.
 - Mutual funds also allow a nomination facility. One may want to utilize this.

In today's times, it is possible to invest through websites and mobile apps. The c-KYC process means that the investor does not have to fill in too many details every single time.

Chapter 9

Stories of Real People Who Took Control of Their Money

Case studies of families or individuals who benefited from basic financial planning.

There are many challenges when it comes to managing money – some due to a lack of awareness, while some are due to a lack of time. However, managing one’s finances is an essential life skill. There are many cases where people have faced hardships, and there are many where people have taken control of their financial situation – sometimes with the help of expert professionals, and sometimes by themselves – to make their lives better.

Let us look at five such cases.

1. Sheetal – From Chaotic Spending to Confident Saver

Profile: 27, Junior Officer at a Co-operative Bank

Challenge: Sheetal earned a stable income but often ended up borrowing by the month-end. She spent without tracking and had outstanding credit card dues.

Action Taken: After attending a financial awareness session by a financial planner, she signed up as the financial planner’s client. Under the able guidance of an expert, she began tracking expenses and created a simple budget using a notebook. She committed to saving before spending.

Outcome:

- Cleared ₹60,000 in credit card dues within 5 months.
- Built ₹25,000 emergency fund.
- Started ₹3,000 SIP for future goals.

Lesson: Financial discipline begins with awareness and small changes.

2. Anil and Varsha – Planning for Their Children’s Education

Profile: 39 and 35, High School Teachers

Challenge: The couple wanted to ensure quality education for their two children, but didn’t know how to plan for it.

Action Taken: A friend introduced them to a financial professional from Nashik. They prioritized their goals, bought term insurance, and began SIPs in mutual fund schemes.

Outcome:

- Regular savings for the last 5 years.
- Already accumulated ₹8.7 lakh towards their daughter’s college fees.
- Have term covers of ₹50 lakh each for financial protection.

Lesson: Goal-based investing can secure your child’s future without stress.

3. Imtiyaz – Turning a Crisis into a Wake-Up Call

Profile: 44, Textile Business Owner

Challenge: His business collapsed during the pandemic, and he had neither savings nor health insurance.

Action Taken: A friend asked him to consult a financial advisor. He restarted his business on a smaller scale and built a personal finance roadmap.

Outcome:

- Saved 6 months' expenses in a recurring deposit.
- Bought family floater health insurance.
- Started investing ₹7,500/month in mutual funds via SIP.

Lesson: Being financially prepared gives you the confidence to start over.

4. Savita – Retiring with Dignity

Profile: 60, Retired Government Nurse

Challenge: With retirement approaching, Savita was unsure if her PF and pension would suffice.

Action Taken: Her nephew helped her meet a retirement planner in Pune. They worked on a post-retirement income plan combining traditional and market-linked products.

Outcome:

- Invested in Senior Citizens Savings Scheme, a pension annuity, and some balanced mutual funds.
- Has a monthly income for regular expenses and funds for travel and emergencies.

Lesson: Retirement planning isn't just about savings—it's about managing income wisely.

5. Kunal – From Speculator to Smart Investor

Profile: 31, Private Tutor

Challenge: Kunal lost money trading stocks based on social media tips. He wanted to grow wealth but didn't know how.

Action Taken: After attending an online investor awareness webinar, he learned the difference between trading and investing. He began SIPs in mutual funds.

Outcome:

- Built a significant portfolio over 3 years.
- No longer stressed about stock market fluctuations.
- Investing regularly for financial independence.

Lesson: Smart investing needs planning, not predictions.

Chapter 10

Checklist and Tools for Action

- Monthly budget sheets
- Goal tracking formats
- Savings plan templates
- Emergency fund checklist
- A document containing all details of your personal finances

Monthly Budget Sheet

Category	Expected Amount (₹)	Actual Amount (₹)	Notes
Income			
Salary			
Pension / Rental Income			
Other Income			
Total Income			
Expenses			
House Rent / Loan EMI			
Groceries & Essentials			
Utilities (Electricity, Water, Gas)			
Transport / Fuel			
Children's Education			
Savings & Investments			
Insurance Premiums			
Medical Expenses			
Mobile, Internet, DTH			
Entertainment / Outings			
Others			
Total Expenses			
Surplus / Deficit			(Income – Expenses)

Goal Tracking Format

Financial Goal	Amount Needed (₹)	Target Date	Amount Saved So Far (₹)	Monthly Contribution Required (₹)	Remarks
Child's Education					
Emergency Fund					
House Down Payment					
Retirement Corpus					
Daughter's Marriage					
Travel / Vacation Fund					

Savings Plan Template

Savings Purpose	Start Date	Monthly Amount (₹)	Saving Instrument (RD, FD, MF, etc.)	Target Amount (₹)	Goal Date
Festival Expenses					
Annual School Fees					
Insurance Premium Fund					
Retirement Investment					
Emergency Fund					

Emergency Fund Checklist

- Have at least 3–6 months of essential expenses saved
- Keep the fund in a bank savings account or a liquid mutual fund
- The fund should be easily accessible in emergencies

Park the emergency fund in safe and liquid assets like Bank accounts, bank deposits, and liquid mutual funds

- Include the following in your estimate of monthly essentials:
 - Rent / Loan EMI
 - Groceries
 - Utility bills
 - Transport
 - School fees
 - Medicines/healthcare

Formula: Monthly Essential Expenses $\times$ 6 = Emergency Fund Target

Personal Finance Summary Sheet

Section	Details
Primary Income	₹ _____ / month from _____ (job/business/pension)
Other Income	₹ _____ from _____ (rent, interest, etc.)
Bank Accounts	Savings Account(s) at _____
Loans & EMIs	Type: _____ ₹ _____ per month (e.g. Home Loan, Personal Loan)
Insurance	Life Cover: ₹ _____
Investments	PPF: ₹ _____, FD: ₹ _____, Mutual Funds: ₹ _____
Other Investments	_____
Monthly Expenses	₹ _____ (from budget sheet)
Emergency Fund	₹ _____ kept in _____
Financial Goals	1. _____ (₹ _____) by _____ 2. _____ (₹ _____) by _____
Nominee Status	Nominee updated for all investments and insurance? ☒ Yes / ☐ No

Section	Details
Document Storage	All important documents stored at: _____

Chapter 11

Useful Resources

Various financial calculators

- <https://www.nism.ac.in/financial-calculators/>
- <https://investor.sebi.gov.in/calculators/index.html>

Reading material:

- www.investor.sebi.gov.in
- www.ncfe.org.in

Learning resources:

- Various e-learning courses are available on NISM's website (www.nism.ac.in)
- NISM's E-learning Platform (Free of Cost):-
 - Online Dispute Resolution (ODR):-
[https://online.nism.ac.in/module/Online%20Dispute%20Resolution%20\(ODR\)%20Mechanism.html](https://online.nism.ac.in/module/Online%20Dispute%20Resolution%20(ODR)%20Mechanism.html)
 - Financial Literacy Course for Bharat :-
<https://online.nism.ac.in/module/Financial%20Literacy%20Course%20for%20Bharat.html>

Chapter 12

Final Words

As you reach the conclusion of this book, you are now equipped with foundational knowledge to make informed and confident financial decisions. From understanding the essentials of financial planning to exploring diverse asset classes, you have gained insights into budgeting, saving, investing, and managing risk. Along the way, you have discovered how to set realistic goals, harness the power of compounding, and build a portfolio suited to your needs.

Remember, financial freedom is not an overnight achievement, but a journey built on discipline, continuous learning, and prudent choices. Stay proactive, review your plans regularly, adapt to changes, and never stop educating yourself. The resources you have encountered, from regulatory websites to e-learning platforms, are valuable companions for ongoing growth.

Take charge of your future with clarity and confidence. It is expected from the trainers to use this guide to disseminate financial awareness among trainees. The steps you take today pave the way for your financial well-being tomorrow.

Your journey towards financial freedom starts now!

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